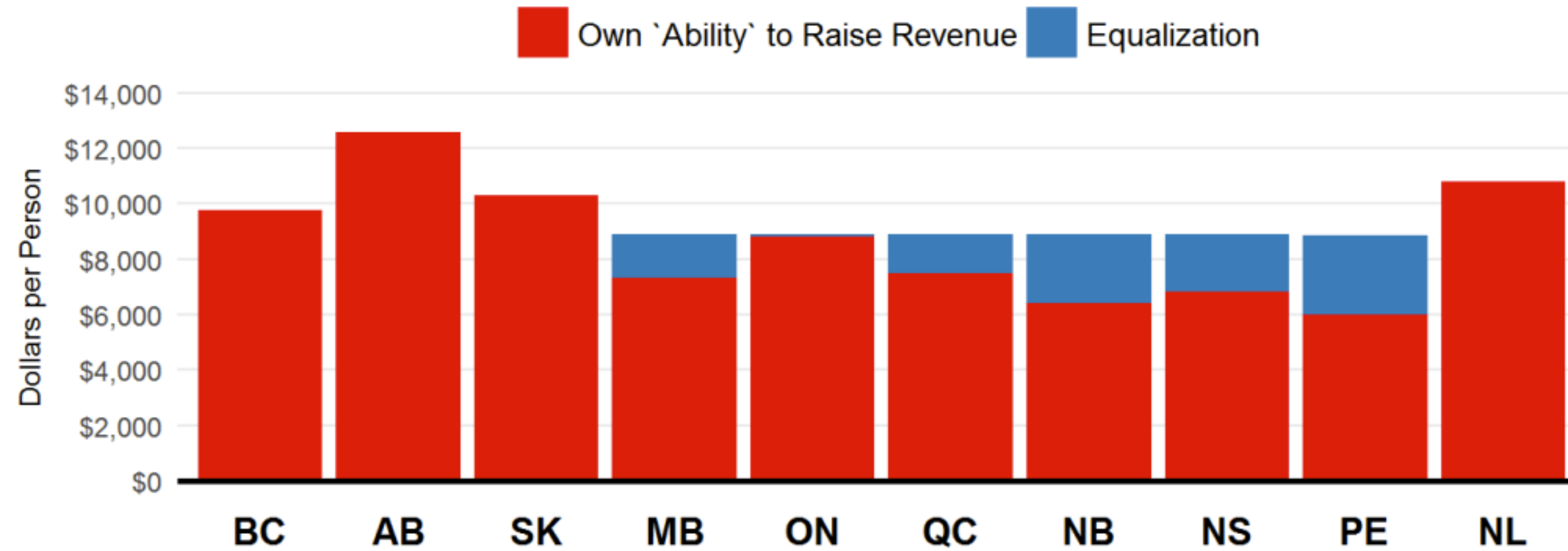


Fiscal Capacity and Equalization, by Province (FY 2018-19)

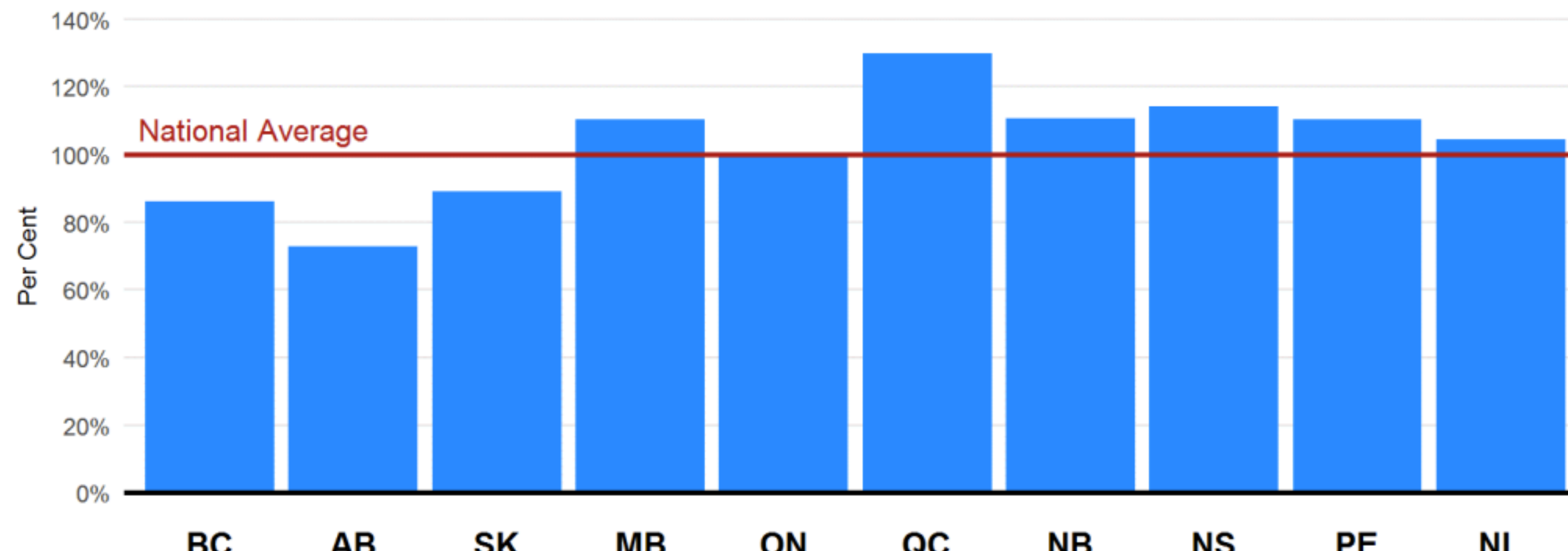
Displays each province's own fiscal capacity, the equalization payment required to bring it up to an 'average' level, and the 'adjustment payment' to fix the pool of equalization paid. In 2018/19, adjustments totalled \$1.76b.



Provincial 'Tax Effort' in 2016-17

Displays actual revenue from tax bases included in equalization, relative to potential revenue if national average tax rates were applied. Excluding natural resources.

Equalization



Equalization Program

$$T(n) = \sum_{i=0}^{n-1} \sum_{j=0}^{i^2-1} \sum_{k=0}^{j-1} c = c \sum_{i=0}^{n-1} \sum_{j=0}^{i^2-1} j = c \sum_{i=0}^{n-1} \frac{i^4 - i^2}{2}$$

$$T(n) = \frac{c}{2} \left(\sum_{i=0}^{n-1} i^4 - \sum_{i=0}^{n-1} i^2 \right)$$

$$T(n) = \frac{c}{2} \left[\frac{n(n-1)(2n-1)(3n^2-3n-1)}{30} - \frac{n(n-1)(2n-1)}{6} \right]$$

$$T(n) \in \Theta(n^5)$$

SHOULD WE HAVE TO PAY EQUALIZATION PAYMENTS TO THE REST OF THE COUNTRY?